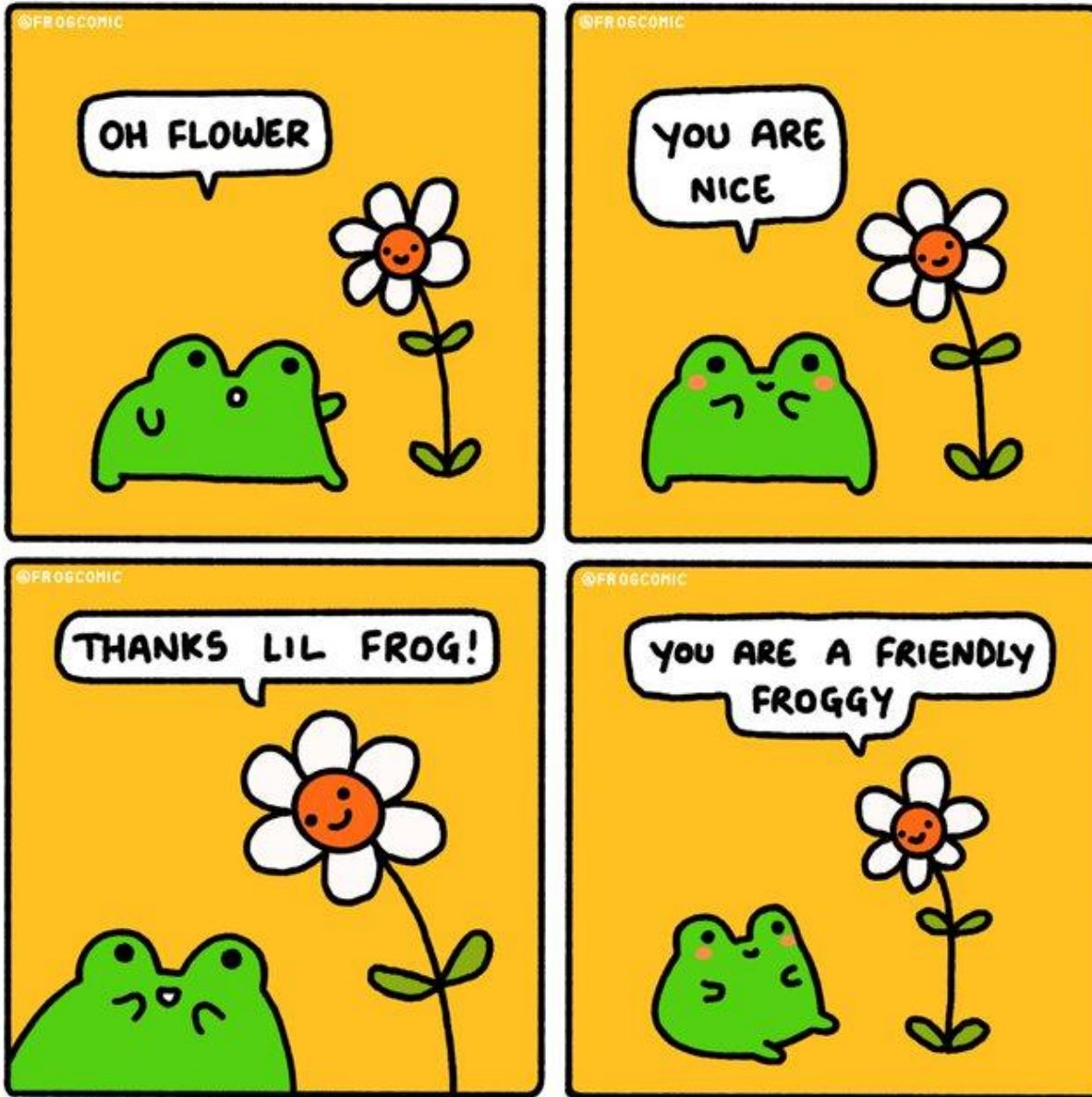




A Day of Practice Problems

#1

If my pet ever got sick and needed to go to the vet, I would pay any price for the treatment she needed. This is an example of

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- b. perfectly elastic supply
- c. perfectly inelastic demand
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If the elasticity of demand of for camera film is -2.6, and the price of film is raised by 10 percent

- a. the quantity demanded will fall by 2.6 percent
- b. the quantity demanded will fall by 26 percent.
- c. the quantity demanded will fall by 260 percent
- d. the quantity demanded must fall, but we need more information to determine by how much.

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- b. raise the price of your jewelry boxes.
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#6

If you raise your price by 50% and quantity demanded falls by 40%, the elasticity of demand for your product is

- a. 8.0
- b. 1.25
- c. .80
- d. .50
- e. .40

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#7

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- b. demand for oranges is inelastic
- c. supply of oranges is elastic
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